

BUS 577 – Platform Power – Summer 2026

Session 4: Launching a Platform Solving the Cold Start & Chicken-and-Egg

**Thursday, July 23, 2026
6:00 – 7:30 PM PT - Zoom**

Alex Cheng

Individual Quiz #1

OPENS JULY 21 – DUE JULY 28



Opens July 21, 2026, 12:00 AM PT

Due July 28, 2026, 11:59 PM PT



15-minute time limit

Once started, the clock doesn't stop



2 attempts allowed

Highest of the two scores is kept



Covers Part 1 concepts

Sessions 1–3 material

QUIZ DETAILS

Canvas Quiz

Opens: July 21, 2026 – 12:00 AM PT

Due: July 28, 2026 – 11:59 PM PT

Time limit: 15 minutes

Attempts: 2 – highest score kept

Coverage: Part 1 (Sessions 1–3)

Group Case Study #1

EPIC GAMES: NINETEEN EIGHTY-FORTNITE



Written case analysis

4–5 pages + exhibits/references, as a group



Canvas submission only

One submission per group



15% of final grade

Rubric is prescriptive on frameworks, open on conclusions

CASE DETAILS

Epic Games: Nineteen Eighty-Fortnite

Materials:	HBS 721-395 (A), 725-400 (B)
Lens:	Monetization & pricing power
Format:	Group written analysis
Length:	4-5 pages + exhibits
Weight:	15% of final grade (15 pts)
Due:	Aug 3, 2026 – 11:59 PM PT

Solving Chicken-and-Egg: Today's Agenda

1. Opening poll: which app did you quit?
2. Reading recap: constrain, seed, supply, demand, strategies
3. Warm-up questions: Airbnb (3 quick opinions)
4. Poll: which side would you subsidize
5. Debate: can a startup build a platform today?
6. Two-sided market challenges & Reddit governance

TAKEAWAY

90-day launch plan

Which side first, and what you offer them

Success metrics at day
30/60/90

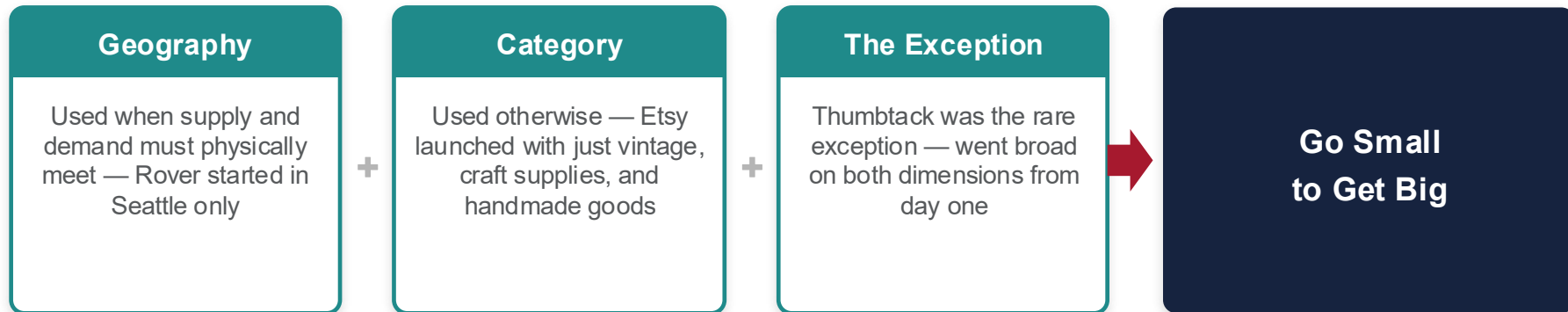
Which App Did You Quit?

Think of a marketplace app you've deleted or stopped using – a ride-share, delivery, dating, or resale app that just didn't stick.

Poll: was the problem too little supply (nothing there) or too little demand (no one responded)?

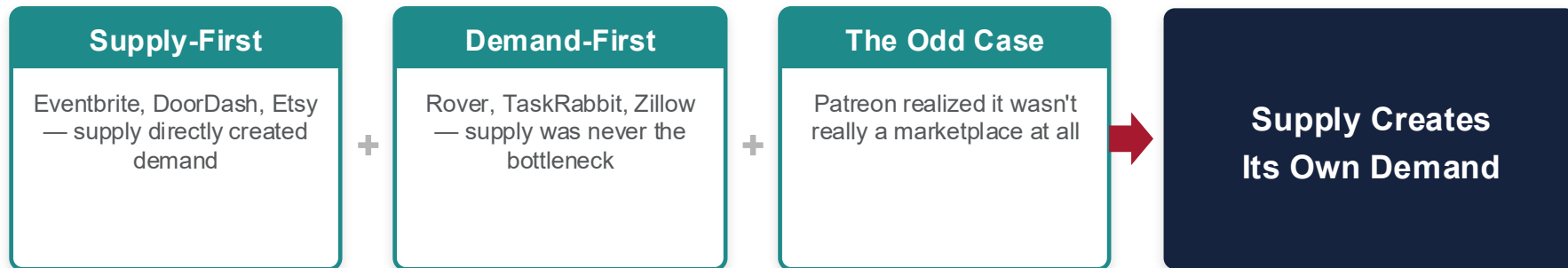
Step 1: Constrain the Marketplace First

- Nearly every marketplace studied narrowed its scope early to reach critical mass faster
- The best way to get big is to first go small — going broad too early was the exception, not the rule



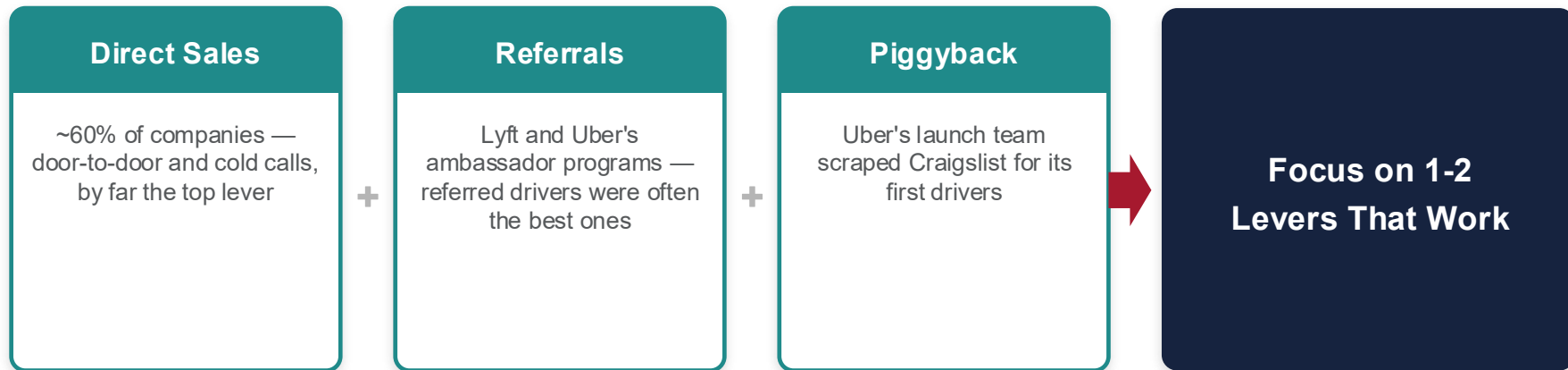
Step 2: Pick a Side to Seed First

- ~80% of the marketplaces studied focused resources on supply first
- Strong supply often generates its own demand, or spreads by word of mouth on its own



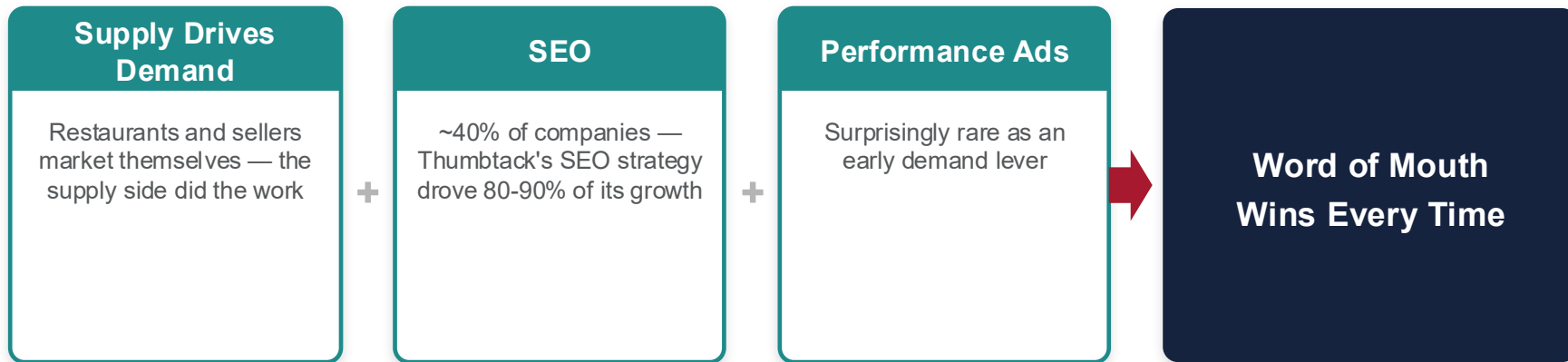
Step 3: Drive Initial Supply

- The median company relied on just two growth levers to kickstart supply — focus, not a long list
- Most marketplaces stay supply-constrained for most of their history — demand pressure never lets up



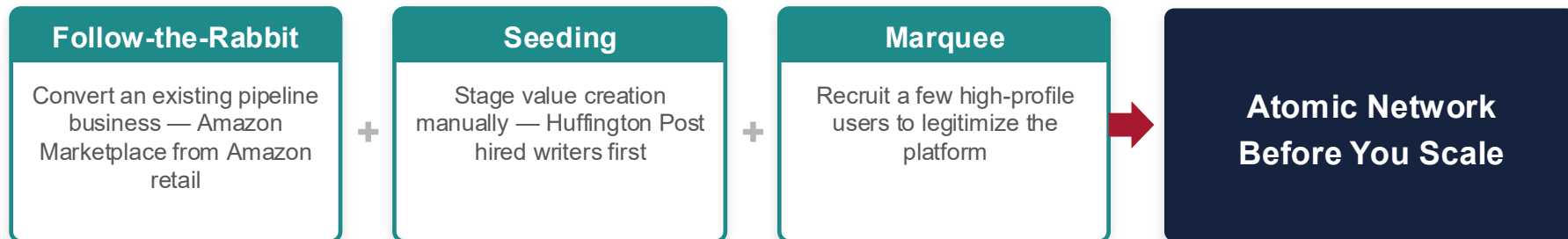
Step 4: Drive Initial Demand

- Word of mouth was the #1 demand driver — the top channel for over half of companies studied
- “Do things that don't scale” — manual, non-scalable tactics were often the real early unlock



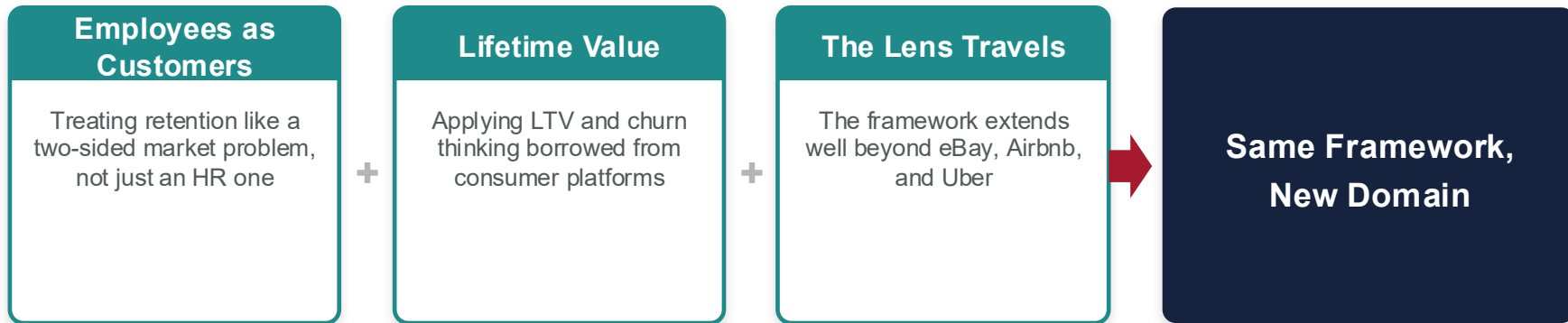
Launch Strategies & the Atomic Network

- Eight launch strategies exist for beating chicken-and-egg — follow-the-rabbit, piggyback, seeding, and more
- Atomic network: the smallest viable network that has to work on its own before you scale



Two-Sided Thinking Beyond Marketplaces

- Parker applies two-sided market theory to employees as “outside producers” inside a company
- Same chicken-and-egg logic can apply to talent, culture, and internal platforms — not just classic marketplaces



Open Your Home to a Stranger?

Warm Call

Airbnb's entire business depended on someone, somewhere, saying yes to this question first.

Would you rent out a spare room in your own home to someone you have never met? Why or why not?

Would You Book a Stranger's Home?

Warm Call

Before Airbnb had millions of reviews, it was just you, a listing with no track record, and a leap of faith.

Would you rather book a stranger's home or a hotel for your next trip? What would tip your decision?

Was Airbnb's Camera Hustle Smart?

Warm Call

Instead of writing better listing descriptions, Airbnb's founders personally showed up with a camera to photograph early homes.

Smart hustle, or a sign the founders should have been building product instead? What would you have done?

Poll: Which Side Would You Subsidize?

Poll

You're launching a Canadian ride-sharing app to compete with Uber, and you have \$50,000 to spend before launch. Uber itself used cash to guarantee driver income during its own cold start.

Poll: do you spend the \$50K on drivers (supply) or riders (demand)?

Can Startups Still Build Platforms?

Debate

Incumbents like Amazon, Uber, and Meta now dominate most obvious two-sided markets, and AI tools have lowered the cost of building almost anything.

“Yes – still viable” vs. “No – incumbents have won.”

Discussion: Reddit's Self-Governance

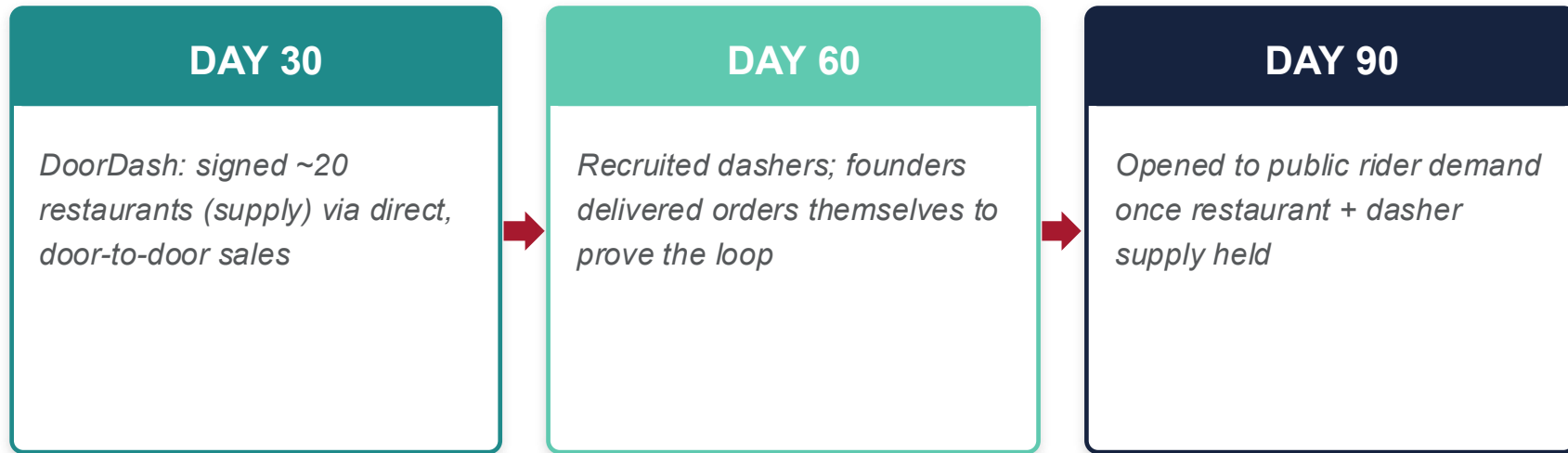
Discussion

Reddit lets communities self-govern with upvotes and downvotes instead of top-down rules – polarizing content tends to net out near zero.

Would that self-governance model work for a two-sided marketplace like Airbnb? Why or why not?

90-Day Launch Plan

Worked example: DoorDash – you can sketch this for your own platform idea



What we did today

- Chicken-and-egg problem, constrain-first, and picking a side to seed
- Airbnb warm-up questions, the subsidize poll, and the startup debate
- Reddit's self-governance model, and a 90-day launch plan takeaway

Next Session

Session 5 – Monetization: Pricing Strategy for Platforms

Questions or want to talk further? Find me on LinkedIn, send me email or set up a 1:1 Zoom